

# **BOARD OF CBA**

## **MINUTES (06.03.2012)**

### **Refinancing Rate for March of 2012**

**The 6th of March 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Oleg Aghasyan, Aharon Chilingaryan, and Vakhtang Abrahamyan.**

The Board Meeting started with presentation of current developments on inflation, external environment and real, fiscal and monetary sectors. In February of 2012, the 12-month inflation was 3 percent, which is within the confidence band of  $4\% \pm 1.5$  pp.

According to official statistics, in February of 2012, relative to the previous month, 0.9 percent deflation was recorded. Food prices fell by 1.9 percent, mainly due to 3.7 percent drop in fruit prices and 10.7 percent plunge in vegetable prices, thus contributing to the month's indicator by 1 pp. Prices of non-food products grew by 0.2 percent, whereas service tariffs stayed unchanged.

In January of 2012 the Economic Activity Indicator made up 4.4 percent as a result of increased output volumes reported in all sectors of the economy. EAI was higher in industry (21 percent) and services (6.7 percent), and lower in agriculture (1.9 percent) and construction (0.5 percent).

External trade turnover indicators suggest that in January of 2012 real volumes of export continued growing amid strong growth in the domestic industry, yet the growth of export (FOB) in dollar terms has been merely 0.4 percent and the growth of import (CIF), 6.6 percent, relative to January of 2011, which is explained by the average price of exported base metals somewhat lower from the level recorded for the same period of the previous year.

The developments in the financial market for February were as follows: average market repo rate was 10.9 percent, down by 0.5, and interbank repo rate was 10.7 percent, dropped by 0.3 pp, in relation to the January indicators. Also, average market rate of treasury bills with up to 1-year of maturity fell by 1.7 pp and reached 8.9 percent. Average interest rate of stock exchange-traded interbank loans went down by 3.2 pp and amounted to 7.7 percent compared to the previous month. The interest rates tend to decrease after their temporary rise as a result of the December 2011 change in reserve requirement mechanism

In February of 2012, relative to the previous month, the average dram exchange rate performed as follows: the dram depreciated versus the dollar by 0.3 percent and reached AMD 388.6; the dram appreciated versus Euro by 2.7 percent and amounted to AMD 514.4, and the dram depreciated versus the ruble by 4.68 percent and reached AMD 13.04. Relative to February of the previous year, the average dram exchange rate behavior had been as follows: it depreciated by 6.06 percent versus USD, by 3.07 percent versus EUR, and by 4.29 percent versus RUB.

In view of the said developments in the financial market, the monetary indicators performed, as of the 17th of February, in the following manner: the 12-month growth of dram broad money was 28.2 percent, somewhat faster from that of broad money, owing to 40.4 percent increase in dram deposits. The 12-month growth of foreign currency deposits was 21.1 percent (14.2 percent, when impact of the change in exchange rate is excluded). In the meantime, the dollarization has subdued by 1.4 percent. Growth rates of economy lending remained strong, 34.4 percent.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic environments as well as the monetary policy directions.

Optimism on world economic development outlook, shown up earlier the year, persisted over February, and leading indicators of advanced economies point out to this. Under such conditions prices of the main commodities and food products posted some increase. Relative to the previous month, the oil price has grown by nearly 7.6 percent, determined by both increased industrial demand and persisting anxieties in the Middle East. The copper price has risen by 4.6 percent against the previous month.

According to Food and Agricultural Organization data, food prices have grown by 0.94 percent against January, due to increased prices of sugar, fats and oils and wheat.

In February, amid certain signs of rebounding economic activity on a ground still vulnerable, the European Central Bank left the refinancing rate unchanged and further implemented non-standard policy measures by injecting huge amounts of liquidity into the financial market. Notwithstanding this and measures towards solution of debt issues in the Euro-area, uncertainties over world growth outlook are persisting.

The policy rate of the U.S. Federal Reserve System for the upcoming period of time stays unchanged either. The Fed further withholds launching the QE3 in view of positive developments of economic activity.

The Board admitted that international prices of main commodities and food products created a minor inflationary environment in the face of positive developments of economic activity in some advanced countries and optimistic expectations about world economic growth outlook. Also, prices of oil products have risen under persisted geopolitical issues in the Middle East, which had been outlined as risk in the Q1 2012 Monetary Policy Program. The Board sees these developments still not worrying in terms of their impact on the inflation environment in Armenia in the upcoming months. The impact of domestic developments on inflation coming from the fiscal policy and private spending and the labor market remains neutral.

The Board agreed that the Armenian economy progresses in line with baseline scenario presented in monetary policy programs, in the context of domestic and external developments with materialization of some risks pertinent to the external sector, however.

The Board evaluates that in the current perspective of world and domestic economic development there is much probability that the 12-month inflation will be within the confidence band of  $4\% \pm 1.5$  pp in the forecast horizon. With this situation, the CBA will continue maintaining the policy rate at the 8 percent level, which will leave a neutral impact on the inflation environment.

In the 6th of February 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were left at 11.0 percent and 5.0 percent, respectively.